GS Basics - Trade Template. AI vs Consumer. Consumption/Construction
FICC and Equities | 24 July 2025 | 6:56AM UTC

Europe futures sharply higher after a late FT story indicated that the US and EU are close to a trade deal. Europe appears keen to mirror the Japan agreement—15% tariffs no longer seem to be a stumbling block. Polymarket odds of a deal by August 1st now at 56%. Navarro's comments suggest headlines should "be taken with a grain of salt." Bessent noted that "innovative financing" helped structure the Japan auto deal and that investment incentives played a key role. Last mile might be the hardest but headlines are encouraging.

thematic continues to shine through in numbers. **GOOG**: they beat in core search (low bar) and YouTube, but the standout was a $10bn upward revision to 2025 capex: "With this strong and growing demand for our Cloud products and services, **we are increasing our investment in capital expenditure**s," said CEO Sundar Pichai. **Cloud revenue rose +32%, well above the +26.5% est.** What last year would have been penalized as potentially wasteful capex is now seen as evidence of constrained supply chasing real AI demand. Sk Hynix confirmed overnight "SK Hynix Inc. plans to quicken spending on advanced memory chip capacity...reflecting surging AI demand" (BBG) . **ServiceNow** boosted guidance on AI strength: "**AI revenue grew 50% QoQ, with 18 of our top 20 deals including Now Assist AI,"** said McDermott. Elsewhere, **GE Vernova +15**% as grid/power demand surprises to the upside: "After growing at 0.5% annually from 2014–2024, US electricity demand is forecast to grow 2.5% annually through 2035." (bbg) ABB, Legrand—same theme. T**he AI Capex/energy infrastructure/quest for tokens arms race is very real.**

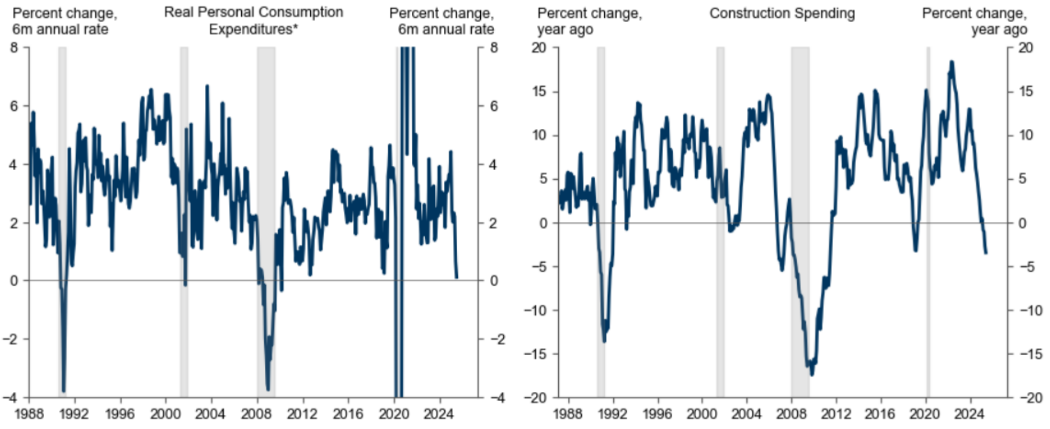
Consumer remains the relative pocket of weakness. **Chipotle** missed on weak foot traffic (low-end pressure), toy-maker **Mattel** warned, **Southwest** disappointed on domestic leisure travel, **Hilton** guided lower: "US travel **demand has faced headwinds**, including lower consumer confidence and declining international visitors. RevPAR fell -1.5% YoY in Q2." In Europe, new car sales fell more than -5% in June. You can see the divergence clearly: **businesses are front-loading spend, aided by tax policy and reshoring incentives. Consumers just have tariffs. Relative sector performance tells the stor**y. (see below)

More meme pain but faded: Big spike in meme names early on but enthusiasm faded a bit into close, with Krispy Kreme and GoPro closing well below their highs. Kohl's, finished sharply lower. Some hope the worst issues for gross are behind us.

Diplomatic leaks reinforce that a US-EU deal is close. Europe is back near highs, alongside Japan—so largely priced in. Bonds absorbed supply yesterday—10yr TIPS auction ahead today. ECB today likely a non-event. **More in the chop than chase camp but got to admit the AI thematic is impressive. Watching PMIs**

Side-note: "Although nominal core retail sales rebounded in June, we estimate **real personal consumption has now stagnated on net for six months**, which rarely happens outside of recession. Housing activity has also slowed sharply, with overall construction spending falling faster over the past year than at any time since the post-2008 housing bust." (GIR)

Exhibit 3: A Sharp Slowdown in Consumption and Construction



*Including estimated implications of June retail sales and inflation releases.

Source: US Bureau of Labor Statistics, Census Bureau, Haver Analytics, Goldman Sachs Global Investment Research

[Goldman Sachs Research - Marquee]

*All references to ?we/us/our? refer to the views and observations of the desk unless otherwise specified.